Foreign exchange and trading

Known as forex, foreign exchange and trading refers to the buying and selling of currencies. This trading of currencies can occur between banks, financial institutions, governments, and individuals.

Forex profit and loss

A trader wants to sell some UK pound sterling (GBP) and buy euros (EUR) because they think that the value of the pound is going to fall against the euro. If their prediction is right, they can sell the euros for a profit, but if their prediction is wrong, they will take a loss when they sell. Investors who wish to speculate on the forex market may use a forex broker and give them a deposit, or borrow money (known as margin) from them to buy currency.

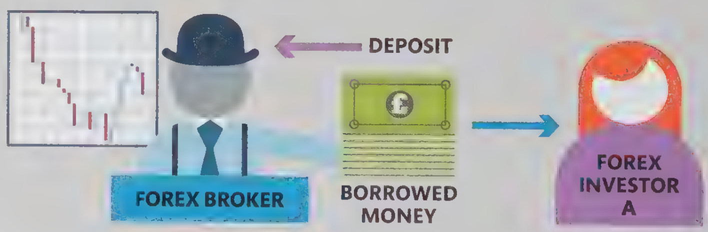
WARNING

Forex markets usually trade on small differences—for example the US dollar-euro rate changing by a few cents—so sudden shocks can catch investors unprepared.On January 15, 2015, the Swiss National Bank (SNB) unexpectedly announced that it would no longer hold the Swiss franc at a fixed exchange rate with the euro. This caused panic in the forex markets. At one point on that day the Swiss franc rose by 30 percent against the euro and 25 percent against the US dollar.

1

Investor A looks at the price of the two currencies on the forex market. The EUR/GBP is trading at £0.79 to buy and £0.77 to sell.

2



Investor A thinks that this is a good price and decides to trade, borrowing £79,000 to do so.

3

Investor A buys €100,000 for £79,000 from Investor B. They do this via a currency brokerage, which charges them both a commission.